AS Business 9609 - Analysis Chains

A bank of ready-to-use cause-and-effect chains for building Analysis (AO3) marks. For the Oct/Nov 2026 exam (syllabus 2026-2028). Use with the Exam Technique guide.

1. What an analysis chain is

Analysis [An] is developed reasoning. You take one point and push it, link by link, until it reaches a final effect on the business. Each "link" is a consequence of the one before. A single undeveloped point earns Knowledge only; the CHAIN of links is what earns the Analysis marks.

The full exam sentence has this shape:

Point + definition [K] -> link to the actual business [App] -> which means... -> so... -> as a result... [An] (-> on balance / it depends... [Ev] on 12-mark questions only).

Where to put each mark: K goes first (define), App goes second (name the business), and every "so.../which means..." link after that is An.

2. The connective toolkit (the words that build a chain)

String your links together with these. Using them forces you to develop, not just list:

- which means... / this means that...
- so... / therefore... / as a result... / consequently...
- this leads to... / this in turn...
- ultimately... / which finally... (use to reach the destination)

Rule of thumb: aim for at least 2-3 links per point before you stop. If you have not reached one of the destinations below, the chain is not finished.

3. The destinations - always end on one of these

Every chain must arrive at a measurable business effect. If your point does not reach one of these, keep going:

- Higher / lower REVENUE or SALES volume
- Higher / lower COSTS (or unit/average cost)
- Higher / lower PROFIT or profit margin
- Improved / worse CASH FLOW
- Higher / lower MARKET SHARE or COMPETITIVENESS
- Higher / lower PRODUCTIVITY, motivation or labour turnover
- Greater / lower chance of SURVIVAL or growth

4. People in organisations - chains

Financial motivation (performance bonus / piece rate)

- A performance bonus [K] -> workers can earn more by producing more -> they see extra effort is rewarded (Taylor) -> motivation and effort rise -> output per worker (productivity) increases -> unit labour costs fall and orders are met faster -> higher profit and competitiveness [An].

Training

- Training gives employees new skills [K] -> they make fewer mistakes and work faster -> quality and productivity rise -> less waste and reworking -> lower costs and a better reputation -> higher profit [An].

Empowerment / job enrichment (Maslow, Herzberg)

- Giving workers more responsibility [K] -> meets esteem/self-actualisation needs (Maslow) and acts as a motivator (Herzberg) -> job satisfaction rises -> labour turnover and absenteeism fall -> lower recruitment/training costs and experience is retained -> higher productivity and profit [An].

Poor motivation (the negative chain)

- Low pay and no recognition [K] -> workers feel undervalued (unmet esteem needs) -> motivation falls -> absenteeism and labour turnover rise -> production is disrupted and recruitment costs rise -> lower productivity and profit [An].

Democratic leadership

- A democratic style [K] -> employees are consulted on decisions -> they feel valued and share ideas -> motivation and commitment rise -> lower turnover and better-quality decisions -> higher productivity [An]. (Counter-link: consulting takes time -> slower decisions -> slower response to market changes.)

Delayering / organisational structure

- Removing a layer of management [K] -> a shorter chain of command and lower salary costs -> communication is faster and overheads fall -> quicker decisions and lower costs -> more competitive and profitable [An]. (Counter-link: wider span of control -> managers stretched -> less support for staff.)

5. Marketing - chains

Market research

- Primary market research [K] -> the business gathers data on real customer needs -> the product is designed to match what customers want -> fewer failed launches and higher sales -> higher revenue and less wasted marketing spend [An].

Market segmentation

- Segmenting the market [K] -> the firm targets each group with a tailored product and message -> less marketing is wasted and each group finds products that fit -> higher sales and stronger loyalty -> higher revenue [An].

Advertising / promotion

- Advertising [K] -> raises awareness and improves brand image -> the demand curve shifts right (more sold at each price) -> sales volume rises -> if extra revenue exceeds the advertising cost -> higher profit [An].

Price elasticity of demand

- The product is price-INELASTIC (few substitutes) [K] -> raising the price -> quantity demanded falls by a smaller % than the price rise -> total revenue rises [An]. (For an ELASTIC good the opposite holds: a price rise -> a larger % fall in quantity -> revenue falls.)

Penetration pricing / price skimming

- Penetration pricing (low launch price) [K] -> attracts price-sensitive customers from rivals -> market share is built quickly -> higher sales volume spreads fixed costs -> lower unit cost and word-of-mouth growth [An].

- Price skimming (high launch price for a new product) [K] -> early adopters pay a premium -> high revenue per unit -> R&D costs are recovered quickly -> funds reinvestment [An].

Unique selling point / differentiation

- A clear USP [K] -> the product stands out from rivals -> customers become more brand loyal and less price-sensitive -> the firm can charge a premium and keep customers -> higher margins and revenue [An].

6. Operations management - chains

Economies of scale

- Producing on a larger scale [K] -> fixed costs are spread over more units and bulk-buying earns discounts -> average (unit) cost falls -> the firm can cut price or widen its margin -> more competitive and more profitable [An].

Just-in-time (JIT) inventory

- JIT holds little or no stock [K] -> storage, insurance and capital tied up in inventory all fall -> lower costs and improved cash flow -> higher profit [An]. (Counter-link: no buffer stock -> one supplier delay -> production halts and orders are missed.)

Quality management / TQM

- Improving quality [K] -> fewer defects, returns and reworking + a stronger reputation -> lower waste costs and more repeat custom -> higher sales and profit [An].

Automation / capital-intensive production

- Investing in machinery [K] -> output is produced faster and more consistently -> productivity and quality rise and labour cost per unit falls -> lower unit costs -> more competitive [An]. (Counter-link: high fixed cost -> break-even output rises -> risky if demand is low.)

7. Finance and accounting - chains

Bank loan

- A bank loan [K] -> provides a large lump sum while the owner keeps control -> the firm can buy assets now and spread repayments over years -> capacity and sales rise with manageable cash flow -> higher profit [An]. (Counter-link: fixed interest must be paid whether or not sales rise -> break-even and risk rise.)

Retained profit

- Using retained profit [K] -> no interest and no loss of control -> cheaper than borrowing with no repayment pressure -> expansion is funded while cash flow is protected -> lower risk [An]. (Counter-link: opportunity cost -> less available for dividends or reserves.)

Break-even and margin of safety

- Cutting fixed costs [K] -> the break-even output falls -> the firm becomes profitable at a lower level of sales and its margin of safety widens -> lower risk of making a loss [An].

Cash-flow management

- Negotiating longer credit terms with suppliers [K] -> cash stays in the business for longer -> cash flow improves -> wages and bills can be paid on time -> the firm avoids insolvency [An].

8. Business and its environment - chains

Recession

- A recession [K] -> consumer incomes and confidence fall -> demand for luxury/income-elastic goods falls -> sales revenue drops -> the firm may cut costs or staff -> survival is threatened [An].

Exchange rate (a weaker domestic currency)

- The domestic currency weakens [K] -> exports become cheaper for overseas buyers -> foreign demand rises -> export sales and revenue increase for an exporter [An]. (Counter-link: imported raw materials become dearer -> input costs rise.)

Interest rate rise

- Interest rates rise [K] -> borrowing costs increase and consumers have less disposable income -> demand falls while the firm's loan repayments rise -> lower sales and higher costs -> lower profit [An].

Minimum wage / legislation

- A minimum-wage rise [K] -> labour costs increase -> unit costs rise -> the firm must accept lower margins or raise prices -> less competitive or lower profit [An]. (Counter-link: higher pay -> better motivation and lower turnover.)

Limited liability (becoming a private limited company)

- Becoming a private limited company [K] -> shareholders gain limited liability -> personal assets are protected and capital is easier to raise by selling shares -> growth can be funded with less personal risk [An]. (Counter-link: more legal/admin requirements and profits shared.)

9. Build your own chain (fill in the blanks)

Use this skeleton for any point in any topic. Never stop before the final effect:

[Name the point] is [define it] [K]. For [the business in the question] [App], this means that ______, so ______, which as a result ______, ultimately leading to [higher/lower profit, sales, costs, cash flow, market share, productivity or survival] [An].

For a 12-mark question, add a judgement afterwards: On balance this ______ is/ is not worthwhile because ______; however it depends on ______, and in the short term ______ while in the long term ______ [Ev].

10. The three chain mistakes to avoid

- Stopping too early - ending on "so sales rise" without the final effect (e.g. on profit or survival). Add the last link.
- Listing instead of linking - writing separate facts with no "so/which means" between them earns Knowledge, not Analysis.
- No application - a chain that never names the actual business loses the Application marks even if the reasoning is good.

Learn a few chains per topic and adapt the wording to the business in front of you. Depth beats breadth: two fully developed chains score higher than five half-finished ones.